

How Your Pay Works on a Government Contract

The honest explanation nobody gave you
when you started

Plain English. No acronyms. Real answers.

The Short Version

If you read nothing else, here is how your pay works on a government contract:

1. Before your company bid for this contract, they listed every job category and priced each one. Your title maps to one of those categories.
2. The hourly rate for your category covers your salary + benefits + your company's overhead + their profit. The government pays that rate.
3. Your personal salary is what's left after the company takes their cut. The contract ceiling sets what's possible, not what you get.
4. Raises happen when (a) the contract renews and rates get updated, (b) you move up to a higher category, or (c) your company negotiates a contract modification.
5. If your company wins the recompetes with higher rates, you might see a raise. If they lose, you might lose your job or transfer to the new contractor.

The rest of this guide explains each of these in depth — with the parts your manager probably doesn't tell you either.

How Your Job Category Determines Your Pay Ceiling

In the government contracting world, every person on a contract is assigned to a **job category**. You may hear people call this a “labor category” or “LCAT” — but all it really means is: **a job title with a price tag that the government agreed to pay.**

Before your company ever won this contract, they built a price list of job titles: Junior Analyst, Senior Engineer, Program Manager, and so on. For each title, they proposed an hourly rate. That rate was based on market salary data, the company’s cost structure, and competitive pressure from other bidders.

Your personal job title at the company may not match perfectly. “Data Scientist” at your company might map to “Senior Analyst” on the contract. “Staff Engineer” might be billed as “Senior Systems Engineer.” The mapping is internal, and sometimes imprecise.

The government pays the rate for your category. Your company pays you a salary out of that. Here is how the math works:

Worked Example: “Senior Analyst” category

Component	Amount
Government pays (hourly rate)	\$95 / hour
Company overhead, fringe, G&A, profit	~\$45 / hour (roughly 48% of the rate)
What’s left for your salary	~\$50 / hour = ~\$104,000 / year
Your actual salary (typical range)	\$85,000 – \$95,000

Note: These numbers are illustrative. Real rates vary widely by contract, agency, and company.

Why doesn’t my job title match what’s in the contract?

Because companies map their internal titles to contract categories when they propose. A “Senior Analyst” in the contract might be what your company calls a “Lead Researcher.” The mapping is internal — and sometimes imprecise. If you’re curious about your mapping, ask your program manager.

What Your Company Takes Before You See a Dollar

Here's something most people never think about: the hourly rate the government pays for your job category is **not** your hourly pay. Not even close. That rate has to cover a lot more than your salary.

Think of it as a multiplier. For every dollar of your base salary, the government is actually paying somewhere around \$1.70 to \$2.00 once all the costs are layered on. Here's what's in that rate:

Component	What it is	% of total rate
Your salary	What shows up in your bank account	40–50%
Fringe benefits	Health, 401k, leave, payroll taxes	18–25%
Overhead	Program managers, IT, facilities, security	15–20%
G&A	Corporate costs (execs, legal, BD)	8–12%
Profit / fee	What the company earns	5–10%

In plain English: If the government pays \$100/hour for your category, roughly \$45–55 of that is your direct compensation (salary plus benefits). The rest keeps the company operating and profitable.

This multiplier is called the **wrap rate** — the total factor applied to your base salary to arrive at the billable rate. A wrap rate of 1.8 means for every \$1 of salary, the government pays \$1.80.

Is my company ripping me off?

No. This structure is standard and regulated. Government auditors (called DCAA) verify that the costs are real and allowable. Companies that try to pad overhead get caught. The rates are disclosed and approved — not hidden. Every government contractor works this way.

Why Raises Are Harder on Government Contracts

The constraint: Your company agreed to bill a certain rate for your job category. If they give you a raise that pushes your cost above what that rate can support, they lose money on you. Every dollar of raise has to come from somewhere.

Scenario 1: The contract renews (the best time to ask)

When a contract is re-competed or extended, companies reprice all the categories. This is when rates can go up, and when companies often give raises to retain good staff going into the new period. If you've been performing well, the renewal is your best leverage point.

Scenario 2: You move to a higher category

If you've grown into a more senior role, your company can start billing you under a higher-rate category. This requires paperwork — they have to formally reclassify you on the contract — but it means both your billable rate and your potential salary go up.

Scenario 3: A contract modification

If the scope of work changes significantly, companies sometimes negotiate rate adjustments as part of a contract modification. Less common, but it happens.

The hard truth: On a cost-plus contract, the government pays actual costs — so there's more flexibility to give raises without the company eating the cost. On a fixed-price contract, every raise reduces profit. This is why fixed-price programs often have tighter compensation structures.

Can I just ask my manager for a raise?

Yes, but understand the constraint they're working within. The most effective raise conversations on government programs include: what category you're currently billed under, whether a higher category exists on the contract, and when the next contract renewal or option year exercise happens.

The Contract Type Changes Your Financial Reality

Not all government contracts work the same way. The type of contract your program runs on directly affects how much room your company has to pay you — and how much pressure they're under to keep costs down.

Fixed-Price (FFP)

Your company agreed to do X for \$Y. They keep what they don't spend. If they go over budget, it's their problem. Your company has every incentive to keep costs — including salaries — lean. Efficiency is rewarded. Overspending comes directly out of profit.

Cost-Plus (CPFF / CPIF)

The government pays actual costs plus a fixed fee. Your company has less pressure to cut costs because the government covers them — within limits. Government auditors ensure costs are real and allowable. More flexibility for raises; less direct financial pressure on headcount.

Time & Materials (T&M)

The government pays a fixed hourly rate per job category and reimburses materials. Most flexible for the company day-to-day, but less stable for you individually because funding is hourly, not commitment-based.

What this means for your pay:

Contract Type	Raise Flexibility	Your Risk Level
Fixed-Price	Low — raises come out of profit	Moderate — lean staffing preferred
Cost-Plus	Higher — costs passed to government	Lower — costs are reimbursed
Time & Materials	Moderate — tied to rate categories	Higher — hourly funding, less stability

What the Recompete Means for Your Job

This is the section most people don't see coming.

Every government contract has an expiration date. When it expires, the government typically re-solicits the work — meaning your company has to bid again against competitors. This is called the **recompete**.

What can happen:

Your company wins: Usually business as usual. Sometimes with updated rates (good for raises). Sometimes with tighter rates if competition was fierce.

A competitor wins: The new company may offer you a job to bring your knowledge and clearance. They're not required to match your current compensation — they'll offer what their rate structure allows.

The work goes away: Programs get restructured, defunded, or absorbed. The contract ends and so does the role.

The clearance factor: If you hold a security clearance, you're more valuable to the incoming contractor. Cleared staff are expensive to replace — 12–18 months and \$15,000–\$50,000 to clear a new person. This is real leverage in a transition.

Should I negotiate with the new contractor?

Absolutely. They need you more than they'll admit. Your institutional knowledge, existing relationships with the government customer, and active clearance are worth negotiating for. Don't assume they'll match your current package automatically — ask specifically.

Subcontractors: Same Work, Different Deal

If you work for a subcontractor — a smaller company supporting the prime contractor — your situation has an extra layer of financial complexity.

Your subcontractor's rates are negotiated with the **prime**, not directly with the government. The prime marks up the sub's rates before billing the government — this is sometimes called “pass-through.” Your sub has a ceiling from the prime, who has a ceiling from the government.

What this means for you:

There are **two layers** of overhead eating into your potential pay.

Your company's room to raise your salary is constrained by what the prime will pay them.

When the prime wins a recompetes or renegotiates rates, your sub may or may not see any benefit — it depends on the subcontract terms.

This dynamic is also why subcontractor employees often get absorbed by the prime at some point. It simplifies the contract structure and can improve compensation for the individual — because there's only one layer of overhead instead of two.

Layer	Who pays whom	What gets taken
Government	Pays the prime contractor	Nothing — this is the source of funds
Prime contractor	Bills government, pays the sub	Prime's overhead + markup on sub rates
Your company (sub)	Receives from prime, pays you	Sub's overhead, fringe, G&A, profit
You	Receive your salary	Your salary is what's left

Should I try to get hired by the prime?

It depends. Primes often pay more because there's one less layer of markup. But subcontractors sometimes offer faster promotions, more responsibility, and closer-knit teams. Evaluate the full picture — not just the salary line.

The Five Questions Most People Never Ask

These five questions will tell you more about your compensation potential than any annual review. Most people on government contracts never ask them. You should.

1. “What job category am I billed under on this contract?”

Your company should be able to tell you this. If they’re vague, that’s a signal. Knowing your category tells you what rate the government is paying for you — and whether you’re close to the ceiling for your level.

2. “What’s the next category up, and what does it require?”

If a higher category exists on the contract, that’s your promotion ladder. Ask what the qualifications are and whether you’re close to meeting them.

3. “When does this contract come up for renewal or recompet?”

This is the best time to negotiate a raise or reclassification. If the contract renews in 6 months, start the conversation now.

4. “Is this a fixed-price or cost-type contract?”

This tells you how much flexibility exists for raises and whether your company is under pressure to keep costs down.

5. “What happens to my position if we lose the recompet?”

A good manager will be honest about this. If they dodge the question, assume the answer is “you’d have to negotiate with the new contractor.” That’s the standard answer and not necessarily bad — but you should plan for it.

Putting It Together: The Numbers That Matter

Here is the complete picture — every factor that shapes what you earn on a government contract, in one place:

What	Why It Matters to Your Pay
Your job category	Sets the rate ceiling for what the government pays for you
Wrap rate	Determines what fraction of that rate becomes your compensation
Contract type	Determines how much pressure your company is under to keep salaries lean
Contract renewal date	The best leverage point for raises and reclassification
Prime vs. sub relationship	Adds a layer of pass-through that may compress your ceiling
Clearance level	Your most portable asset — real leverage in transitions

None of this is secret. The people who advance fastest in defense contracting aren't always the most technically skilled — they're the ones who understand the financial structure they're operating in. **Now you do too.**

The system goes deeper than your paycheck.

If understanding how your pay works made you curious about how the whole acquisition system works — contracts, source selection, program management, how the government buys — that's what Acqlerate is built to teach.

Module 01 — DoD Acquisitions Foundations is completely free.

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